

first century has become well too long to enumerate. From the vantage of 2022, investors were confronted by a pandemic that shuttered the economy, a deadly war in Europe, and a rapid revival of domestic inflation. The first was utterly outside the experience of contemporary investors; the other two seemed ghosts from a distant past. These multiple shocks were a reminder that, along with many calculable risks such as interest rate movements, investors face uncertainties that defy anticipation, much less arithmetic estimation. This argues for investors—even those in reputedly “safe” stocks—to build in a layer of protection, what Graham memorably termed a margin of safety.

It is tempting to wonder, “If Ben Graham were writing this book today, what would he be saying?” The question is unanswerable, but we can make a useful distinction. Although we cannot guess how he would assemble a portfolio, investors can still apply his *approach*. The axiom that market prices convey little about the future that is useful (or lasting) is as valid as ever. The truism that any trend is subject to reversal still suggests an urgent need for a margin of safety. Graham would not recognize software or digital apps, but he would, I suspect, find much familiar in the markets of 2007–2022, during which the Standard & Poor’s 500 Index crashed three times, once by half and another time by a third, and yet overall rose a remarkable 11% per annum, with price-earnings ratios rising to levels close to those of 1929.⁴

On the recent fetish for so-called private equity, Graham, we imagine, would have pointed out that the distinction between such investments and traditional public stocks was chiefly superficial—one of form. Substantively, each consists of an ownership interest whose value ultimately depends on a business’s performance. It is true that private equities, which are not quoted daily (or hourly) present a less-volatile

⁴ 11% is the compounded rise from Dec. 31, 2007 (close to the top of the previous bull market) through August 2022; for the price-earnings ratio, see the Shiller P/E at <https://www.multpl.com/shiller-pe>.